

SECURITIES AND EXCHANGE BOARD OF INDIA

OFFICIAL REGULATORY NOTIFICATION - STATUTORY TEXT

SEBI MASTER CIRCULAR ON KNOW YOUR CLIENT (KYC) NORMS AND AML/CFT STANDARDS

[Section 2.1] Client Identification and Verification (CIP)

Every registered intermediary shall obtain and verify officially valid documents (OVDs) including PAN, Aadhaar (masked), Passport, or Voter ID prior to opening an account or executing any securities transactions on behalf of any client. Intermediaries must identify and verify the Beneficial Owner (BO) behind corporate or trust structures.

[Section 3.4] Prohibition of Anonymous and Fictitious Accounts

No registered intermediary shall open or maintain anonymous accounts, benami accounts, accounts in fictitious names, or accounts on behalf of unverified third parties under any circumstances. All funds and securities must originate from verified bank accounts registered in the client's own name.

[Section 5.2] Customer Due Diligence (CDD) and Enhanced Due Diligence (EDD)

Intermediaries shall perform Enhanced Due Diligence on Politically Exposed Persons (PEPs), high-risk clients, and cross-border entities. Client profiles and risk categories must be updated periodically based on transaction patterns and annual transaction turnover.

[Section 7.1] Reporting of Suspicious Transactions to FIU-IND

Intermediaries shall furnish information on all suspicious transactions (STRs), cash transactions above threshold (CTRs), and cross-border wire transfers to the Financial Intelligence Unit - India (FIU-IND) within seven working days of arriving at a conclusion of suspicion. Tipping off the client regarding filing of an STR is strictly unlawful.
